

Power Grid Corporation of India Ltd (POWERGRID)

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Company Overview

Power Grid Corporation of India Limited is a Maharatna CPSU and India's largest electric power transmission company. GoI holds a 51.34% stake in the company as on March 31, 2021. PGCIL was incorporated in 1989 to set up extra-high voltage alternating current and high-voltage direct current (HVDC) transmission lines. The company moves large blocks of power from the central generating agencies and areas that have surplus power to load centres within and across regions. It is under the administrative control of the Ministry of Power, GoI. PGCIL also executes several strategically important projects, assigned to the company by GoI on nomination basis. Power Grid Corporation of India is principally engaged in planning, implementation, operation and maintenance of Inter-State Transmission System (ISTS), Telecom and consultancy services.

Key Financial Ratios Table

Year	NPM %	ROE %	D/E	Interest Coverage	Asset Turnover	FCF (Cr)
2024	34.0%	17.9%	1.42	4.6	0.18	24176.0
2023	33.8%	18.6%	1.55	4.2	0.18	33065.0
2022	40.4%	22.1%	1.77	5.0	0.17	26877.0
2021	30.4%	17.2%	2.05	4.4	0.16	20159.0
2020	29.3%	17.1%	2.29	3.8	0.15	20006.0
2019	28.6%	17.0%	2.48	3.3	0.14	4544.0
2018	27.4%	15.1%	2.42	4.1	0.13	-2991.0
2017	29.0%	14.9%	2.39	3.8	0.13	-2261.0
2016	28.9%	13.6%	2.47	3.7	0.12	-6568.0
2015	28.8%	13.1%	2.50	3.8	0.11	-8385.0

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Qualitative Investment Insights

Strengths (Pros):

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Consistent dividend payout backed by positive free cash flow

Risks & Concerns (Cons):

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility